Nintendo Consumer Behavior

MKT3320 Course Project

by Kaylee P.G.

Section 1: Brand Overview

Introduction:

When I was younger, my father took my sisters and me to a game store, where he bought us each a game card meant for a Nintendo DS. Neither of us owned a Nintendo console, until that same day, my father surprised us by gifting us a Nintendo DS XL, which created a sense of nostalgia in the Nintendo brand for my family. Thinking back on this, my father went through a typical consumer's experience when he purchased the three Nintendo DS consoles, and his roles in this scenario stem from the core concepts I learned in Consumer Behavior. Now, the associations that I have made as a child with Nintendo have blossomed into my own experience and thoughts as a consumer. Although Nintendo is successful in its general marketing efforts, it has a lot of work to do when it comes to aiding consumers in their understanding of the meaning and importance of its brand, and a lot of care needs to be put in to ensure that Nintendo truly cares about its consumers.

Nintendo being a nostalgic entity comes with no surprise. After they began their journey as a trading card company, they began publishing some amazing games such as Super Mario Bros., Legend of Zelda, and Pokémon which became very popular in the 80s. (Liederman, 2024) Nintendo is especially known for its retro consoles and their innovative designs for new consoles, consoles such as the Gameboy, the GameCube, the Super Nintendo Entertainment System, the Nintendo DS/DS XL, the Wii, and most recently, the Nintendo Switch. However, with the introduction of these consoles, some have had critical failures in captivating Nintendo's audience such as the Wii U and its inability to be differentiated from the Wii console, which caused a huge drop in sales, with the Wii obtaining 101 million units sold, compared to the Wii U which sold 13 million units, according to the official Nintendo Financial Data. They have managed to make a big name for themselves in the entertainment industry and they have even opened a theme park.

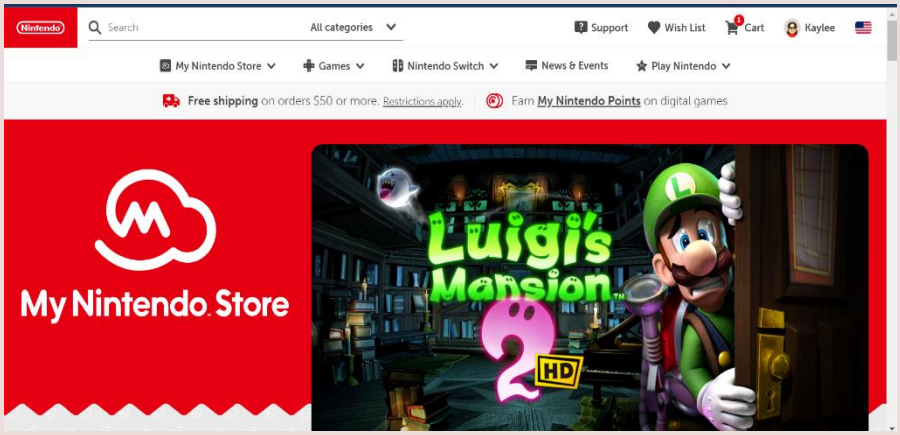
Target Audience:

These theme parks attract a lot of Nintendo's target audience. This is because Nintendo meticulously advertises to everyone, from older individuals to younger children, specifically targeting people with family and friendship values. (Apostolopoulos, 2021) Given that they have come out with multiple consoles throughout the years, naturally, it would attract multiple generations depending on what they grew up with. (Langdon, 2017) Their most recent console, the Nintendo Switch, has brought about 50% women and 50% men, who are typically Asian, Black, or Hispanic, between the ages of 18-24, who reside in the U.S. or Europe. (Valentine, 2019.) Their advertising manages to capture the attention of these individuals, and it is no shock why—Nintendo targets consumers' values by emphasizing in their advertisement how important it is to spend time with friends and family, and how it is possible to do so with their latest console.

Marketing Approach:

With everyone locked inside during COVID-19, it gave them loads of spare time. They could not go out, and so it was necessary to find something to do. Many people spent their time playing games, watching influencer livestreams or spent a lot of time browsing the internet for things to do. Some people did not have to ponder too hard on what to do, since luckily, Nintendo had just released a new game: Animal Crossing New Horizons for the Switch, which was teased in the Nintendo Direct back in February 2020. Nintendo Direct is a way for Nintendo to build hype around the games that they will be releasing through an early announcement in a livestream. With the Nintendo Switch coming out years prior, the release date of March 20th, 2020 was (unexpectedly) the best day they could have possibly launched a new game. Many Nintendo enthusiasts had already snagged a copy of the newest Animal Crossing game.

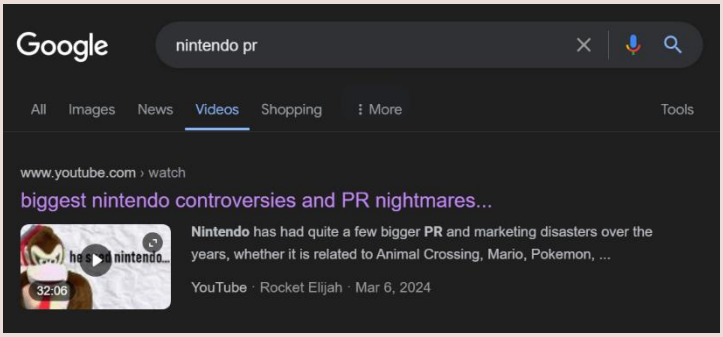
Nintendo Directs are not the only way for consumers to get the latest Nintendo news to stay informed, they also do so via the Switch's news tab, through Twitter, or even through watching their YouTube ads. Nintendo manages to captivate so much consumer attention because their marketing ends up going viral, like in the case of Animal Crossing. The Direct livestreams work because they help people form excitement about upcoming games, which in turn, helps Nintendo's brand image by helping consumers form quick positive judgements and attitudes. Other people can also easily access the latest Nintendo news with their beautifully designed website.



Their website provides plenty of visually compelling and neat context, has loads of content to view, has commerce options, allows people to communicate with Nintendo's support team, and allows you to customize your avatar (as shown) They also let you collect platinum points for checking out the website, which can be used to redeem Switch avatar icons and physical rewards at their Rewards page, My Nintendo Store. They have a "how to recycle" page, but it is located at the very bottom of their webpage. It provides links for U.S. and Canadian recycling centers, otherwise, it suggests that you should email the company for a shipping label if not living in the previously mentioned countries. The only issue (and arguably the most important issue) with this website is the lack of community. There are no forums, and clicking on their games does not allow you to see user ratings.

Their online website is not the only marketing measure they are taking to be seen. Even as you are walking around your local Target, Mario's head can be seen from several aisles away, guiding you to come look at the Nintendo aisle. It has a beautiful display, they have got a demonstration console that you can interact with, it has plenty of accessories for you to select from, and it has even got a wide range of games to choose from in-store. There too is a QR code that people can scan to get more information about the My Nintendo Store. It helps that Nintendo gets its very own aisle, as it makes it easier for consumers interested in Nintendo to locate the entire section dedicated to it.

Unfortunately, Nintendo is not as notable when it comes to Public Relations (PR). They have a form that influencers can fill out for PR contact, but whether that does anything or not is a mystery because of the lack of influencers seen partnering with Nintendo. What can be said is that many users online complain that Nintendo's PR isn't very good, with Reddit user schuey_08 stating, "Great



advertising? Yes! Great public relations? Eh." A quick Google search of "Nintendo PR" shows a video detailing Nintendo's not-so-good history with their marketing efforts, which is not ideal.

Nintendo occasionally does partner up with other businesses. They have recently released a new game called Princess Peach Showtime, and to bring more attention to the game, they partnered up with a Taiwanese boba shop named Kung Fu Tea to release several beverages inspired by the game. Boba tea became very trendy among the younger generation, typically for people between the ages of 18 to 24, and mostly appeals to Asian women. (Pearl Lemon Team, 2023) Nintendo planned this marketing effort well, and it has the potential to attract its target audience.

These current marketing efforts reflect a company that understands who its consumers are but lacks the effort of a company that goes above and beyond for its consumers. As we will see in the next section, Nintendo would benefit from interacting and engaging with its consumers. They would also benefit from an increase in diversity in their games, given how diverse their consumer base is.

Section 2: Recommended Strategy

The Issue(s):

When it comes to marketing, Nintendo is doing a (generally) excellent job. However, some aspects of it feel like they lack, such as the support for the community. According to the PR video mentioned earlier, Nintendo listened to consumers when Muslim consumers were upset about a certain symbol placed in one of the Zelda games. (Elijah, 2024.) However, when it comes to things that the community truly wants to see from Nintendo (such as joy con repairs instead of replacements) they do not deliver, leading to less customer satisfaction and thus less customer retention. Caring about your community and your consumers is very important to success, as stated in the Consumer Behavior Textbook, "Two-thirds of consumers defect because they believe that the company does not care about them." (Hoyer, et al., 2018, p. 276.) If companies show that they truly care about their consumers, word of mouth will speak for itself.

Recommended Change and Rationale:

As we saw in our Target Audience section earlier, many people are between the ages of 18-24. This indicated that a lot of those people would be considered part of the "Mature" audience. While Nintendo does target children and parents (specifically families), they fail to advertise to older people, and independent individuals with income and time to spare. It is recommended that Nintendo arrange its Switch e-shop to have a "for mature audiences" section, so that older people may find games that suit them more easily and so that children are not able to access games that could potentially stunt their development. Nintendo may already be attempting this, as in the most recent Nintendo Direct (06-18-2024), they announced that they would be creating a new app on the Switch dedicated to only Mature games for one of their classic consoles. I believe this is the best first step they could take in seeing how well this idea would work.

They could have potentially gathered thoughts for this idea through official community forums. Community forums are a great way to gather community feedback and to see what people are thinking about when it comes to anything related to the brand, including character ideas that Nintendo could use to

honor their consumers. People can share their experiences and stories with other people all over the world. This not only has an intense amount of reach, but it could also be the deciding factor that determines whether a consumer buys a Nintendo product or not because of their high motivation to look for information online. While there are many different reviews that people could find on YouTube, if Nintendo decided to upload their own sponsored reviews, people would see exactly what Nintendo wants them to see of their product through its intended use. Additionally, this would create a great opportunity for Nintendo to create PR contacts, which would help them gain more credibility in their community.

Another great opportunity for them is to add user-generated reviews to their games on their official storefront or website. It would be extremely beneficial for the consumers because they would be able to judge whether or not they would enjoy a game in their information search. If they are more satisfied with their purchases, Nintendo may make their customers happier which in turn would make them more successful, as stated in the textbook, "Customer satisfaction is critical to business success because satisfied customers are willing to pay higher prices, particularly if they buy the product repeatedly." (Hoyer, et al., 2018, p. 265) They could also simply implement game trials or demos, but it would have to be free for everyone and available everywhere.

Nintendo's games can be played almost anywhere and everywhere, which means that its consumer base is diverse (as stated earlier in the Target Audience section.) This indicates that their games would benefit from diverse characters and worlds because they would resonate more with a consumer's self-identity. Currently, Nintendo is not making people very happy with the lack of respect for diversity, as said in an article which writes, "Birdo, you may or may not know, is one of the most maligned transgender characters in video game history. […] While Nintendo has eventually made up for haphazardly creating a transgender character, Birdo is still not referred to by her preferred name." (TG Staff, 2017.) Besides the characters they create, Nintendo should also be aware of how they can expand their consoles' customization features (such as custom Switch avatars and Nintendo's own Mii avatars.) These customizable characters are a good way to motivate consumers to buy games that resonate with their values of fun and allow them to create diverse avatars that may resemble their self-identity and individual uniqueness. Nintendo should strive to create gaming environments where it would enable kids to learn about how diversity can bring different backgrounds together to share common ideas. These changes would show consumers that Nintendo cares about them. Luckily, Nintendo is starting to uphold diversity values by promoting their "Leading Ladies" on their website. In addition, Nintendo should also be sure to raise awareness of good environmentally conscious decisions and values, such as recycling.

Nintendo's leading ladies

Recycling can create such a huge impact on our environment because it enables us to reuse parts, reduce pollution, and potentially repair items. For example, people in the Nintendo community modify their Nintendo devices to optimize their features, which entails using recycled parts and devices. This is great because it means that Nintendo items will not end up as pollution and will instead be re-used. Nintendo itself does recycle, but its recycling program is not something emphasized in its marketing.

They absolutely should advertise this though, because of the huge impact that consumers' decisions could make on the environment. They could even offer a small amount of store credit or platinum points just to thank people for their contribution to helping our planet.

This leads me to talk about Nintendo's joy-con repair issue. Fortunately, Nintendo provides its consumers with online tools they can find to repair their switch (typically at a cost) and to replace joy cons. Unfortunately, when people send in their joy cons, most of the time they end up sending a new pair back. It is believed that this is not the best solution because it creates more pollution, but it is speculated that Nintendo themselves will likely end up recycling the joy-cons (even though they could be repaired simply with a new part.) However, it is important to mention that the joy-con repair service was not available from the release of the Switch and was allegedly a result of several lawsuits. Even with this service in place, netizens are still not satisfied, with some questioning why a service is even needed for something they paid premium amounts for, or why they still need to pay additional money for devices that are out of their warranty date (especially since Nintendo doesn't offer extensions on warranty.) SpartanHexus, a user on Reddit states,

> "The problem isn't sending to repair. The problem is the need to repair. In years when they discontinue the switch and the drifts continue to happen as fast as it does now, there wont be place to send the joycons to repair for free anymore. Thats gonna be a problem for everyone who kept their switch."

In my previous marketing class, my former professor, Dr. Yanhui Zhao stated that the worst possible scenario that could come from marketing efforts is a lawsuit. Consumers should submit complaints, but it seems that Nintendo does not value consumer complaints until they become serious allegations. This, in itself, shows that consumers were not satisfied with the way Nintendo was treating them.

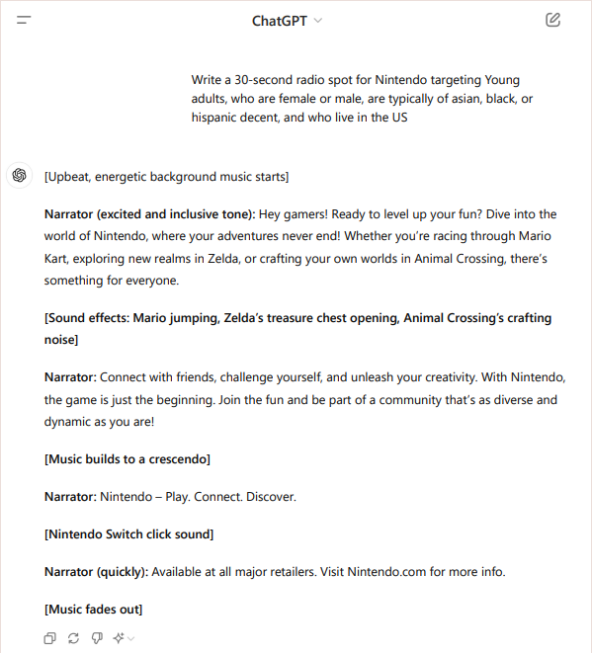
Lastly, Nintendo should implement systems that will help Customer Service providers be able to help people with their issues to solidify a customer's satisfaction with their brand. With the proper training and tools, they would be able to help provide services to current customers. Systems to improve include a way to transfer data from user to user, methods of accessing or retrieving an account using a device's serial number, and a way to extend warranty on Nintendo devices. A user submitted a complaint to the BBB about Nintendo's customer service, stating:

> "I purchased a nintendo switch online account for my teenage kids to use and i wanted to remove the supervised/restricted status on account. I called in to get help with doing that, and the agents I spoke with were very rude and obnoxious. Instead of walking me thru how to obtain the goal, they wanted to interrogate me as to why I wanted to remove that status and what age the kids were, and what they were playing. Frankly, that isnt Nintendo's business. I am there father, and I paid for this account. I do not need Nintendo's permission to parent my kids."

It doesn't help that Nintendo has an automated system that just replies to complaints, they should carefully review these to help improve overall customer satisfaction. After all, customer service improvements would help Nintendo's brand image. Nintendo needs a dedicated team of people who will take the time of day to listen to consumer output and help Nintendo improve its overall services.

Section 3: Artificial Intelligence

ChatGPT Prompt:



Evaluation:

Did it align with the market research you uncovered? Provide supporting documentation.

The radio spot did align with my market research because it used Nintendo's current sonic identity which is the Switch's click sound. That makes almost anyone instantly recognize the brand. It would benefit more if it appeared at the beginning instead of the end, because when you see an ad for a Switch game, the click sound is the first thing you hear, as seen in their ads. It also helps create an attitude for the brand when consumers can associate that with positive emotions, as stated by the Consumer Behavior textbook, "consumers infer product attributes and form evaluations using information gleaned from hearing a brand's sounds, syllables, and words" (Hoyer, et al., 2018, p. 81.) When these ads play and remind them of nostalgia, it enables them to begin thinking of aspects that they would not think of unless they were reminded of it.

Do you think the radio spot would successfully promote your brand? Why or why not?

The radio spot would be successful in promoting Nintendo because it uses aspects of Nintendo's brand image to aid consumers recall information. The variation of games that the ad mentions works well for it because even if people haven't gotten to play at least one of those games, they will probably at least be familiar with one of them, which may motivate them to do an external information search about it. The simple phrases at the end, "Play. Connect. Discover," are good short phrases to use to help recall the Nintendo brand.

Provide at least one example of how you could change the spot to better reach the audience or align with the existing strategy.

One change that should be made is removing the introduction and moving the iconic Nintendo click sound to the very beginning of the ad because it acts as an immediate identifier for the brand. That is what many of the current ads for Nintendo are doing to help consumers realize that the ad is a message from Nintendo. It would benefit from changing the words used in the short phrases because it is overused by a lot of different entertainment companies. Nintendo may do something like "Explore. Connect. Reset. Nintendo" because something that directly identifies your brand like that is easier to rehearse.

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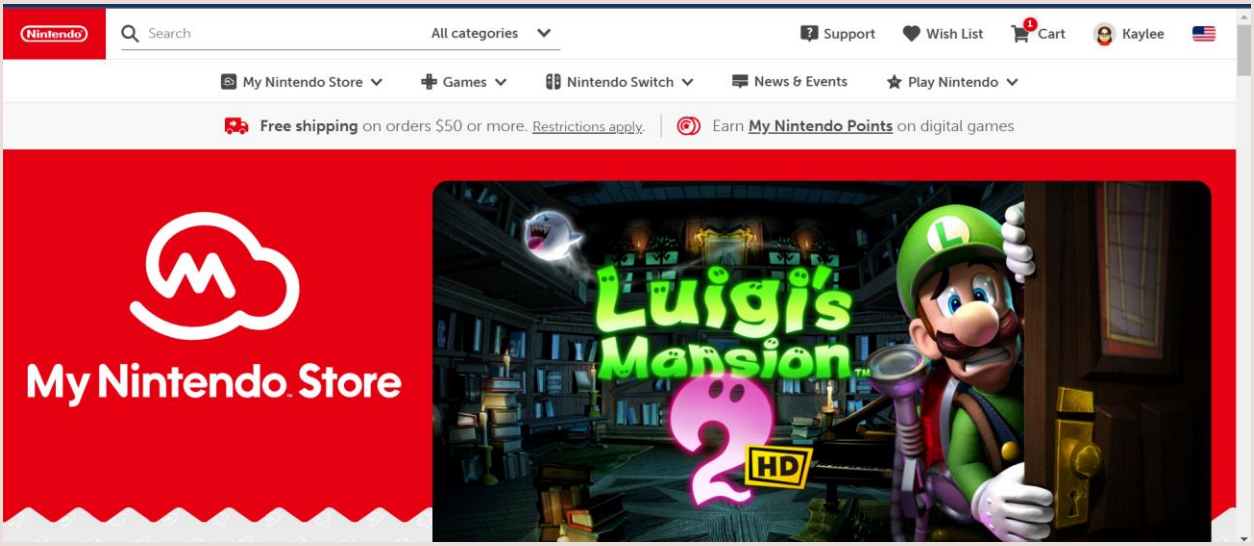
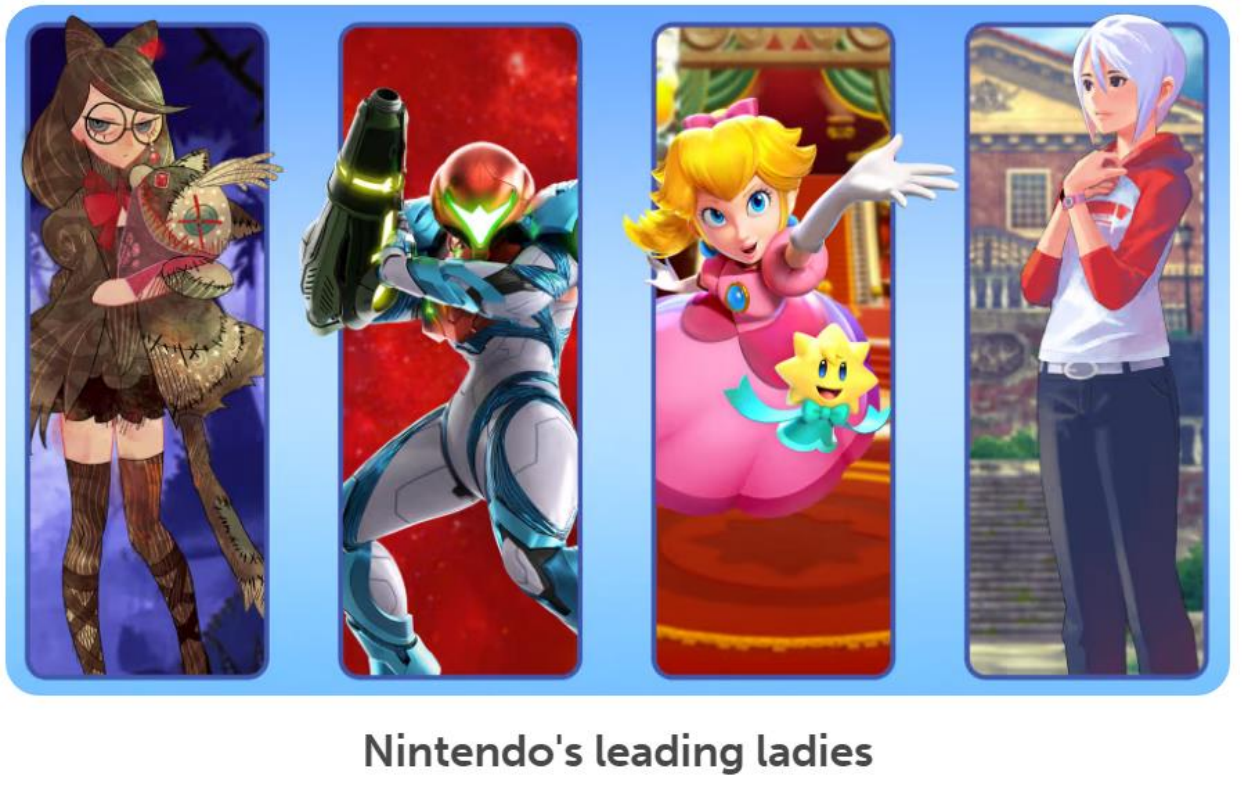
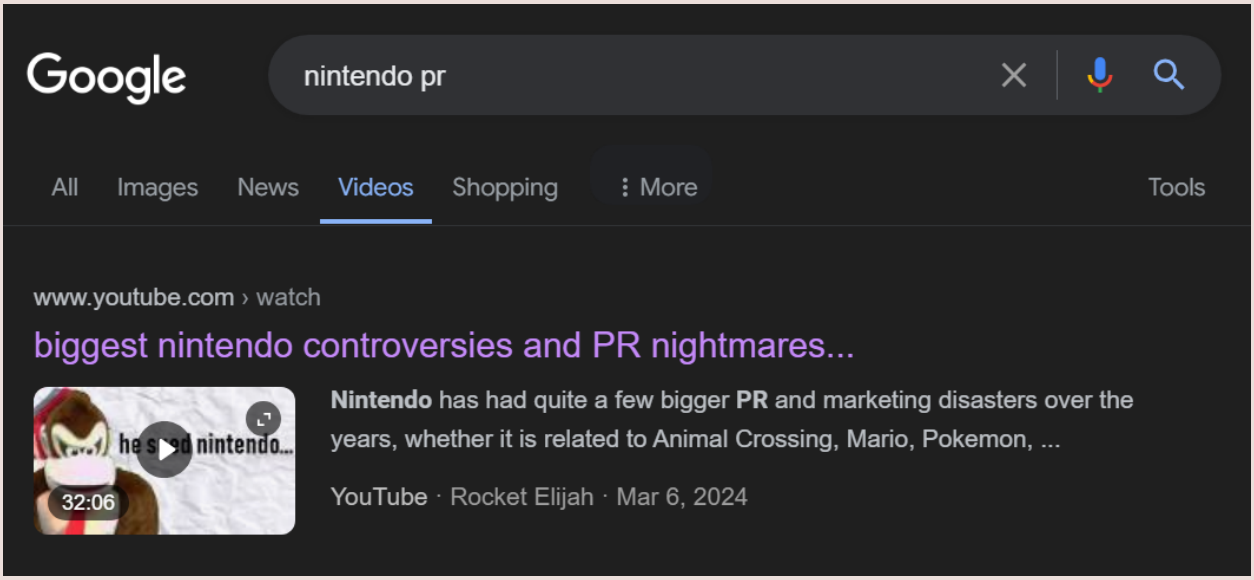
Appendix:


Nintendo
Search
All categories
Support
Wish List
Cart
Kaylee
My Nintendo Store
Games
Nintendo Switch
News & Events
Play Nintendo
Free shipping on orders $50 or more. Restrictions apply.
Earn My Nintendo Points on digital games
My Nintendo Store
Luigi's Mansion 2 HD


Nintendo's leading ladies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biggest nintendo controversies and PR nightmares...
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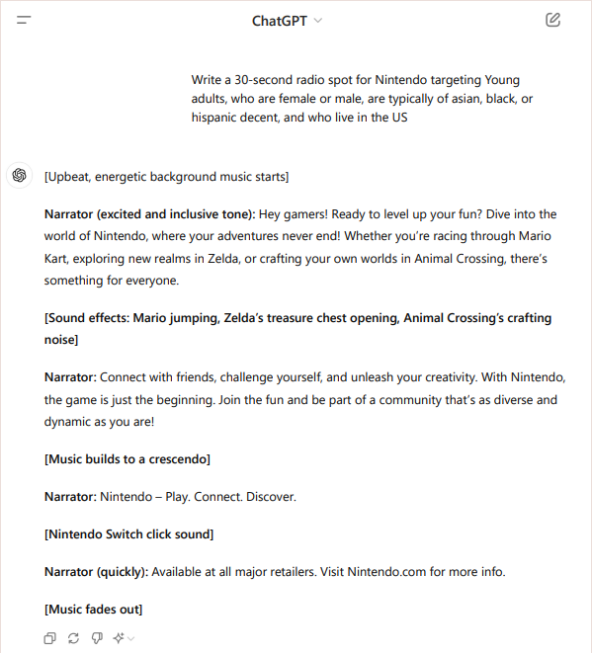
Nintendo has had quite a few bigger PR and marketing disasters over the years, whether it is related to Animal Crossing, Mario, Pokemon, ...
YouTube · Rocket Elijah · Mar 6, 2024


ChatGPT
Write a 30-second radio spot for Nintendo targeting Young adults, who are female or male, are typically of asian, black, or hispanic decent, and who live in the US
[Upbeat, energetic background music starts]
Narrator (excited and inclusive tone): Hey gamers! Ready to level up your fun? Dive into the world of Nintendo, where your adventures never end! Whether you're racing through Mario Kart, exploring new realms in Zelda, or crafting your own worlds in Animal Crossing, there's something for everyone.
[Sound effects: Mario jumping, Zelda's treasure chest opening, Animal Crossing's crafting noise]
Narrator: Connect with friends, challenge yourself, and unleash your creativity. With Nintendo, the game is just the beginning. Join the fun and be part of a community that's as diverse and dynamic as you are!
[Music builds to a crescendo]
Narrator: Nintendo – Play. Connect. Discover.
[Nintendo Switch click sound]
Narrator (quickly): Available at all major retailers. Visit Nintendo.com for more info.
[Music fades out]

NINTENDO SWITCH
Fun, free, and rewarding!
TOP PICKS

Nintendo